

essentially, money managers with structural advantages in how they invest. They have permanent capital, unlike, say, a mutual fund manager who must deal with constant inflows and outflows. Holding companies also build businesses, as opposed to just buying and selling stocks. This is what really interests Todd.

He has a passion and enthusiasm for his subject. This is clearly not just a job or a marketing gimmick. He knows the history of holding companies and has studied them with rigor. Todd named his holding-company-focused portfolio the T. F. Ryan Portfolio after financier Thomas Fortune Ryan (1851–1928).

Ryan is widely considered the creator of the first US holding company, the Metropolitan Traction Co. His is a rags-to-riches story. Ryan was born into poverty. By the time he died, though, he was the 10th-richest man in the country, with a fortune estimated at \$200 million.

“I spend my free time studying financiers from the 1860s to 1920s,” Todd said. When he visits a city, he likes to see whether there is a historic home he can visit to see who created the wealth in that city.

“I started studying these guys when I was in my teens,” Todd told me.

“I knew about the Vanderbilts, the Rockefellers and Carnegies. But now I’m looking for the second-, third- and fourth-tier ones that aren’t as well known. And some of those, to me, are the most incredible stories.”

And not all of these stories end well. Some of these people made a bunch of money and also lost a bunch. So you get a ton of lessons out of studying them. Historically, Todd said, there have been five people or groups he considers holding-company inspirations. Ryan was the first, chronologically. The Van Sweringen brothers, from Cleveland, followed him. They at one point owned the most miles of railroad track in the country. They got crushed in the Great Depression, and their holding company eventually became Alleghany — another model holding company today.

Next was Canadian financier Izaak Walton Killam. When he died in 1955, he was Canada’s richest man. Fourth were the Bronfman brothers, who were kicked out of Seagram. Their holding company, Edper, bought Brascan, which ultimately became Brookfield Asset